

Mark Scheme (Results)

Summer 2026

Pearson Edexcel International GCSE in Accounting
4AC1/02
Unit 2: Financial Statements

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Summer 2026

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General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Question Number	Answer	Mark															
1(a)(i)	Award marks as indicated. \$42 360 (3) W <table border="1"> <tr> <td></td><td></td><td>\$</td></tr> <tr> <td>Draft profit for the year</td><td>42 790</td><td></td></tr> <tr> <td>Irrecoverable debt</td><td>(400)</td><td>(1)</td></tr> <tr> <td>Provision for irrecoverable debts</td><td>(30)</td><td>(1)</td></tr> <tr> <td>Updated profit for the year</td><td>42 360</td><td>(1of)</td></tr> </table>			\$	Draft profit for the year	42 790		Irrecoverable debt	(400)	(1)	Provision for irrecoverable debts	(30)	(1)	Updated profit for the year	42 360	(1of)	(3)
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1(a)(ii)	Award marks as indicated. Abigail and Kai Appropriation Account for the year ended 31 March 2026 <table><tr><td></td><td>\$</td><td>\$</td><td></td></tr><tr><td>Profit for the year</td><td></td><td>42 360</td><td></td></tr><tr><td>Interest on drawings:</td><td></td><td></td><td></td></tr><tr><td>Abigail</td><td>730</td><td></td><td></td></tr><tr><td>Kai</td><td>460</td><td></td><td></td></tr><tr><td></td><td></td><td>1 190</td><td>(1)</td></tr><tr><td>Interest on capital:</td><td></td><td></td><td></td></tr><tr><td>Abigail</td><td>(3 000)</td><td></td><td></td></tr><tr><td>Kai</td><td>(2 000)</td><td></td><td></td></tr><tr><td></td><td></td><td>(5 000)</td><td>(1)</td></tr><tr><td>Salary: Abigail</td><td></td><td>(14 400)</td><td>(1)</td></tr><tr><td>Residual profit</td><td></td><td>24 150</td><td>(1of)</td></tr><tr><td>Share of profit:</td><td></td><td></td><td></td></tr><tr><td>Abigail</td><td></td><td>14 490</td><td rowspan="2">(1of fb)</td></tr><tr><td>Kai</td><td></td><td>9 660</td></tr><tr><td></td><td></td><td>24 150</td><td></td></tr></table>		\$	\$		Profit for the year		42 360		Interest on drawings:				Abigail	730			Kai	460					1 190	(1)	Interest on capital:				Abigail	(3 000)			Kai	(2 000)					(5 000)	(1)	Salary: Abigail		(14 400)	(1)	Residual profit		24 150	(1of)	Share of profit:				Abigail		14 490	(1of fb)	Kai		9 660			24 150		(5)
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1(a)(iv)	Award marks as indicated. Abigail and Kai Statement of Financial Position at 31 March 2026 <table><tr><td></td><td>\$</td><td>\$</td><td>\$</td><td></td></tr><tr><td>Equity and liabilities</td><td></td><td></td><td></td><td></td></tr><tr><td>Equity</td><td></td><td></td><td></td><td></td></tr><tr><td></td><td>Abigail</td><td>Kai</td><td></td><td></td></tr><tr><td>Capital accounts</td><td>60 000</td><td>40 000</td><td>100 000</td><td>(1)</td></tr><tr><td>Current accounts</td><td>19 690</td><td>(1 660)</td><td>18 030</td><td>(1of)</td></tr><tr><td>Total equity</td><td></td><td></td><td>118 030</td><td>(1of)</td></tr><tr><td>Non-current liabilities</td><td></td><td></td><td></td><td></td></tr><tr><td>Bank loan (2028)</td><td></td><td></td><td>5 000</td><td>(1)</td></tr><tr><td>Current liabilities</td><td></td><td></td><td></td><td></td></tr><tr><td>Bank overdraft</td><td></td><td>14 320</td><td></td><td></td></tr><tr><td>Trade payables</td><td></td><td>8 320</td><td></td><td></td></tr><tr><td>Other payables</td><td></td><td>630</td><td></td><td></td></tr><tr><td></td><td></td><td></td><td>23 270</td><td>(1)</td></tr><tr><td>Total liabilities</td><td></td><td></td><td>28 270</td><td></td></tr><tr><td>Total equity and liabilities</td><td></td><td></td><td>146 300</td><td>(1of)</td></tr></table>		\$	\$	\$		Equity and liabilities					Equity						Abigail	Kai			Capital accounts	60 000	40 000	100 000	(1)	Current accounts	19 690	(1 660)	18 030	(1of)	Total equity			118 030	(1of)	Non-current liabilities					Bank loan (2028)			5 000	(1)	Current liabilities					Bank overdraft		14 320			Trade payables		8 320			Other payables		630						23 270	(1)	Total liabilities			28 270		Total equity and liabilities			146 300	(1of)	(6)
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Question Number	Answer	Mark
1(b)	Award up to 2 marks for an analysis of each ratio. Award 1 mark for an overall conclusion. Sample answer The profit for the year as a percentage of revenue has improved over the year (1) indicating that despite the fall in the gross profit, the business is keeping good control over its operating expenses (1). The return on capital employed has also improved over the year (1) indicating that the partners are making better use of the capital they have invested in the business (1). Overall, the partners are not correct in their view that they had not had a successful year (1). Accept any other appropriate responses	(5)

(Total for Question 1 = 25 marks)

Question number	Answer	Mark																																																																																												
2(a)(i)	Award marks as indicated. Pia Manufacturing Account for the year ended 31 March 2026 <table><tr><td></td><td style="text-align: center;">\$</td><td style="text-align: center;">\$</td><td></td></tr><tr><td>Raw materials</td><td></td><td></td><td></td></tr><tr><td>Purchases</td><td></td><td>141 620</td><td></td></tr><tr><td>Returns outwards</td><td></td><td>(3 140)</td><td></td></tr><tr><td>Carriage inwards</td><td></td><td>1 940</td><td></td></tr><tr><td>Closing inventory</td><td></td><td>(15 300)</td><td></td></tr><tr><td>Cost of raw materials consumed</td><td></td><td>125 120</td><td>(1)</td></tr><tr><td>Direct wages</td><td></td><td>88 250</td><td>(1)</td></tr><tr><td>Direct factory expenses</td><td></td><td>32 130</td><td>(1)</td></tr><tr><td>Prime cost</td><td></td><td>245 500</td><td>(1)</td></tr><tr><td>Overheads</td><td></td><td></td><td></td></tr><tr><td>Indirect factory expenses</td><td>25 480</td><td></td><td>(1)</td></tr><tr><td>Insurance</td><td>3 375</td><td></td><td>(1)</td></tr><tr><td>Lighting and heating</td><td>21 405</td><td></td><td>(1)</td></tr><tr><td>Rent</td><td>27 390</td><td></td><td>(1)</td></tr><tr><td>Factory supervisor salary</td><td>28 000</td><td></td><td>(1)</td></tr><tr><td>Depreciation – factory machinery</td><td>16 800</td><td></td><td>(1)</td></tr><tr><td>loose tools</td><td>380</td><td></td><td>(1)</td></tr><tr><td></td><td></td><td>122 830</td><td></td></tr><tr><td></td><td></td><td>368 330</td><td></td></tr><tr><td>Work in progress</td><td></td><td></td><td></td></tr><tr><td>Closing inventory</td><td></td><td>(2 860)</td><td>(1)</td></tr><tr><td>Cost of production</td><td></td><td>365 470</td><td>(2/1of)</td></tr></table>		\$	\$		Raw materials				Purchases		141 620		Returns outwards		(3 140)		Carriage inwards		1 940		Closing inventory		(15 300)		Cost of raw materials consumed		125 120	(1)	Direct wages		88 250	(1)	Direct factory expenses		32 130	(1)	Prime cost		245 500	(1)	Overheads				Indirect factory expenses	25 480		(1)	Insurance	3 375		(1)	Lighting and heating	21 405		(1)	Rent	27 390		(1)	Factory supervisor salary	28 000		(1)	Depreciation – factory machinery	16 800		(1)	loose tools	380		(1)			122 830				368 330		Work in progress				Closing inventory		(2 860)	(1)	Cost of production		365 470	(2/1of)	
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2(a)(ii)	Award marks as indicated. Pia Income Statement for the year ended 31 March 2026 <table><tr><td></td><td style="text-align: center;">\$</td><td style="text-align: center;">\$</td><td></td></tr><tr><td>Revenue</td><td></td><td style="text-align: right;">468 143</td><td></td></tr><tr><td>Cost of sales</td><td></td><td></td><td></td></tr><tr><td>Production cost</td><td style="text-align: right;">365 470</td><td></td><td style="text-align: right;">(1of)</td></tr><tr><td>Purchases</td><td style="text-align: right;">12 810</td><td></td><td style="text-align: right;">(1)</td></tr><tr><td>Returns outwards</td><td style="text-align: right;">(1 030)</td><td></td><td></td></tr><tr><td>Drawings</td><td style="text-align: right;">(290)</td><td></td><td style="text-align: right;">(1)</td></tr><tr><td>Closing inventory</td><td style="text-align: right;">(16 850)</td><td></td><td style="text-align: right;">(1)</td></tr><tr><td></td><td></td><td style="text-align: right;">(360 110)</td><td style="text-align: right;">(1of)</td></tr><tr><td>Gross profit</td><td></td><td style="text-align: right;">108 033</td><td style="text-align: right;">(1of)</td></tr><tr><td></td><td></td><td></td><td></td></tr></table>		\$	\$		Revenue		468 143		Cost of sales				Production cost	365 470		(1of)	Purchases	12 810		(1)	Returns outwards	(1 030)			Drawings	(290)		(1)	Closing inventory	(16 850)		(1)			(360 110)	(1of)	Gross profit		108 033	(1of)					(6)
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Question Number	Answer	Mark
2(b)	Award up to 2 marks for each option. Award 1 mark for advice. Sample answer Option 1 By increasing production by 20%, Pia may experience an increase in variable overheads (1), which may lead to an increase in production costs (1). Option 2 In purchasing additional finished goods, Pia would need to be sure that the manufacturer will be able to deliver the additional goods (1) and that the quality will be maintained (1). Advice Pia should choose option 2 which would avoid the possible increase in overheads (1). Accept any other appropriate responses.	(5)

TOTAL FOR QUESTION 2 = 25 MARKS

TOTAL FOR PAPER = 50 MARKS